

day's interview request.

Apart from laying off employees, start-ups are going slow on hiring. Last year, DPIIT-recognised start-ups alone created 200,000 jobs, the highest in four years. Careernet's Das says every quarter in 2021 saw a 50 per cent sequential increase in hiring, hitting a peak in October-December. Now, start-up hiring is down by nearly 50 per cent compared to the period last year and it is restricted to critical and specific roles only. He estimates April-June 2022 hiring to have been at 60 per cent of the figures in the corresponding quarter last year and the levels will drop this year to 40 per cent in July-September and further to 20 per cent in October-December.

However, "there's no hard stop in hiring," says Sanam Rawal, Partner at Passion Connect, the HR advisory firm of Blume Ventures. "But there's definitely a slowdown to re-strategise," she adds. Rawal, who is currently hiring for 370 roles, sees a bounceback in two-three months, if external factors do not worsen. On Naukri.com, searches by start-up recruiters jumped 54 per cent during April-June 2022 compared to a year ago. In June, Naukri recorded over 1.5 million searches, a jump of 59 per cent compared to a year ago, as per data shared with BT.

SALARIES ARE ALSO getting pruned. "There may be 20-30 per cent salary cuts in a few jobs. Those who got overpaid are at risk. In a lot of cases, people jumped from ₹50-60 lakh to ₹1.2-1.4 crore. Now they are on the lookout for jobs, as it is highly likely that their companies are under stress. They will have to take [pay] cuts," says Careernet's Das. Hari of Artha says both start-ups and candidates are becoming more realistic. "Candidates are realising that start-ups are not just sugar and honey but entail reasonable risk that they were not prepared for." Besides, experts agree that increments are also likely to be muted. Even



"Now valuation doesn't matter as much as the runway. One of the main levers of extending the runway is to cut manpower cost"

K. Ganesh
SERIAL ENTREPRENEUR



"The lay-offs are in single-digit percentage. Even global firms churn out the bottom 10 per cent every year"

Anshuman Das
CEO & CO-FOUNDER,
CAREERNET

tech professionals will find it hard to earn 30-50 per cent hikes.

It just goes to show that risk appetite is required not just of entrepreneurs, but also of employees who want a slice of the start-up and wealth creation pie. But it's crucial to understand the start-up's growth stage as well as the importance of the business function, experts say. According to them, new initiatives, exploratory functions and projects that are not crucial for the company's near-term growth are the ones to be let go usually. Covid-19-induced projects and verticals that have no relevance any longer will also be discarded. Those in business functions such as sales, marketing, HR, operations and administration also have to evaluate how they can move forward in their current organisation, as big-ticket marketing spends get slashed and hiring turns conservative. "The revenue functions will never get affected even during lay-offs. Tech does not get touched at all because it is the core of the company," adds Rawal.

For those considering joining a start-up, Rawal suggests that a mid-level employee should ideally be in such a venture for two-three years, before it reaches a cash-burn stage. "Spending three-four years in a growth-stage company not only gives you expansive experience of having an autonomous role but also the most wealth creation via ESOPs. The minute you go into a scaled-up start-up, there is a likelihood that it will reach a cash-burn stage and then the middle level will be largely removed in case of lay-offs."

But Careernet's Das suggests an even longer term of at least four-six years to really reap the benefits of working in a start-up. He sees the stop-and-go approach as the core reason why some companies and employees are in trouble. "Start-ups are not a 20-20 game. It's a wrong notion people have built up." **BT**

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